

The Future of the “Endowment Model”

A Webinar Sponsored by
Private Capital Project at Harvard Business School
and **The Private Capital Research Institute**



Panelists:

Britt Harris

CEO & Founder, On Eagles Wings Advisors
and Former CEO and Chief Investment Officer,
University of Texas Investment
Management Company

Charles Kennedy

Chief Investment Officer, Carnegie Mellon
University

Jeremy Stein

Moise Y. Safra Professor of Economics, Harvard
University

Paula Volent

Vice President & Chief Investment Officer, The
Rockefeller University

Moderators:

Victoria Ivashina

Lovett-Learned Professor of Business
Administration, Harvard Business School

Josh Lerner

Jacob H. Schiff Professor of Investment
Banking, Harvard Business School

Summary

Universities have begun to rethink the widely emulated “Yale Endowment Model” investment strategy. The combination of apparent underperformance of private equity relative to public market indexes and liquidity challenges have posed some difficulties, especially in light of recent increases to endowment tax rates and cutbacks to Federal spending on academic research. In this discussion held on September 22nd, 2025, the panelists shared their views on whether current challenges to the endowment model are temporary or reflect a more fundamental shift, and whether viable alternative strategies exist.

Key Highlights

- Although endowments are not subject to the pressures of meeting short-term investment horizons, strong incentives to achieve high performance nonetheless remain.
- Compared to the early days of the “Yale Model,” the private equity environment is far more competitive.
- The evolution of the private markets has prompted endowments to seek investment opportunities outside of the traditional fund structure.
- Many endowments leverage unique resources that can be found on campus, tapping into faculty expertise, and fostering an innovative ecosystem.

Reflecting on the “Yale Model”

The “Yale Model,” pioneered by David Swensen in the late 1980s and 1990s, emphasized the need for heavy focus on equity in long-term portfolios, particularly illiquid, private assets managed by excellent intermediaries. This strategy generated sizable returns for many decades.

Despite this admirable track record, the panelists agreed that while Swensen’s investment approach remains influential, recent changes to the investment environment—including increased competition for desirable private equity funds, shifts in the interest rate environment, and longer investment horizons—have made implementing such a strategy more difficult. Notably, more institutions have flocked to venture capital, including large pension funds, and sovereign wealth funds, or gone into competition with these funds (e.g., angels and incubators).

Broader innovations also have the potential to alter conditions in the market. One panelist noted that while Swensen and his team created a competitive advantage by finding inefficiencies through excellent research, managers now can leverage Artificial Intelligence and access instantaneous information. The entry of retail investors to private capital also raises concerns about the impact it could have on the bargaining power of sophisticated institutional investors, as well as overall market returns.¹

Another key takeaway from the discussion is that a “one-size-fits-all” approach is not necessarily the most ideal: different institutions have different needs. One panelist emphasized the importance of considering what assets an institution has and using these to their advantage. For example, an endowment that is relatively small in terms of assets has the flexibility to make smaller commitments, which would not be feasible for a group managing a larger pool of capital. Likewise, the importance of endowment outflows for university operations will determine how much illiquidity an organization can tolerate.

What Makes Endowments Unique?

One panelist remarked that while Benjamin Franklin said “...in this world, nothing is certain except death and taxes,” that maxim does not apply to endowments. Since they have an infinite investment horizon, endowments have a certain flexibility that other institutional investors lack: they are usually not constrained by redemptions or short-term cash flow needs. This allows endowments to make investment

¹ E.g., Hena Parmer and Allison McNeely, “Private Equity’s Courtship of Retail Investors Irks Pensions, Endowments,” *Bloomberg*. <https://www.bloomberg.com/news/articles/2025-08-08/retail-investors-threaten-private-equity-s-aura-of-exclusivity>.

decisions without liquidity constraints at the forefront.

Another key difference between endowments and other types of investment vehicles is the nature of their reporting. Endowments typically report annually, rather than quarterly. This makes them somewhat insulated from short-term fluctuations in the market. Panelists agreed that an investment committee and/or board that can see the value created through long-term private investments is critical: “if your goal is long-term outperformance, that daily pricing information is more distracting than positive.” Panelists noted, however, that there can be strong pressure to perform well, particularly in comparison to peer endowments.

One panelist also raised the point that though university endowments, especially Ivy League ones, receive a lot of public attention, they are relatively small players in the market. The total Ivy League portfolio is about \$190 billion,² whereas the median top 10 public pension fund has about \$220 billion.³ Given their relative size, endowments can write smaller commitments that would not be an effective use of resources for larger institutional investors.

Alternatives to Fund Investing

While traditional fund investing remains central to endowment investment strategies, panelists shared their perspectives on alternative investing strategies, such as direct investments, co-investments, and continuation vehicles.

Panelists shared their experience with co-investments. They noted these transactions often have lower fees, and allow insight into the GP’s decision-making process and limitations. One panelist emphasized that the co-investment process can be a great learning experience for endowments, even if they ultimately lose the deal. Co-investments can also allow more control over when an endowment’s private investments are made.

Views on direct investments were more mixed. Panelists agreed that the demands of a substantial direct investment program are often too great for endowment offices. However, panelists debated whether building a modest direct investment portfolio could be worthwhile for an endowment. One panelist raised the point that there may be some particularly attractive opportunities that relate to the expertise of university researchers. Another panelist argued that for many of these opportunities, it is difficult to assess adverse selection issues—i.e., whether the opportunity was only available because others have passed on it—and if the expected rewards outweigh the risks.

Innovation & Expertise

The panelists discussed the different ways endowments can leverage their universities’ resources to strengthen investment decisions. Endowments may reach out to faculty members for subject matter expertise when considering an investment in a particular sector, such as biotechnology or healthcare. Though not typically financial investors, faculty members can serve as an excellent sounding board on potential investments in their research areas.

Furthermore, faculty members who are experts in Artificial Intelligence can provide insight into implementing new technologies in the process of sourcing deals. Alongside AI, endowment offices are

² 2024 NACUBO-Commonfund Study of Endowments (NCSE) Results. <https://www.nacubo.org/Research/2024/Public-NCSE-Tables>.

³ Pensions & Investments, The P&I 1000, https://www.nystrs.org/getmedia/1d67c20b-0960-4aab-8402-27fe6feb596c/P-I_Top_1000.pdf.

also experimenting with risk analysis and data tools to validate GP valuations, detect anomalies across portfolios, and provide real-time analytics to accelerate workflow.

Another key point of discussion centered on the symbiotic relationship between endowments and the universities they serve. Panelists noted that some institutions have created small startup incubation labs or “friends and family” allocations to support early-stage ventures affiliated with students, alumni, and faculty. Though these investments are small in the context of the broader portfolio and are unlikely to “move the needle” in terms of endowment returns, they can help develop the venture ecosystem on campus. Such investments can also attract donors along the way and be a positive signal for venture investors. Similarly, one panelist flagged that internship programs can be a great way for endowments to build new talent and strengthen the link between the investment office and academic community.

Final Thoughts

Private markets have shifted significantly since the origination of the “Yale Model,” necessitating adaptation of the strategy by endowment offices. Endowments have unique advantages, such as flexibility to pursue niche opportunities and ability to draw on campus expertise, though strategies must be tailored to university-specific characteristics and needs. More generally, endowments need to adapt an agile and forward-looking approach in order to weather ongoing changes in private markets.